SYNTHETIC DOCUMENT - FICTIONAL PARTIES - FOR TESTING ONLY

HARBORVIEW COMMERCIAL LENDING POLICY

Credit Policy CP-2026 (written version of rules/lending_policy.yaml)

1. Credit Limits

1.1 Exposure limit. The principal of any single facility must not exceed USD 50,000,000. Severity: high.

1.2 Loan-to-value. The loan-to-value ratio must not exceed 75%, measured against an independent collateral valuation. Severity: critical.

1.3 Independent valuation. Collateral must be described and supported by a dated valuation from an independent appraiser; a borrower estimate or a valuation still to be delivered is not acceptable. Severity: high.

1.4 Tenor. The final maturity date must be no more than 7 years after the effective date. Severity: medium.

1.5 Guarantee. Facilities above USD 10,000,000 require a parent or third-party guarantee. Severity: high.

2. Pricing and Covenants

2.1 Pricing. The interest rate must be fully defined, either as a numeric fixed rate or as a named benchmark plus a numeric margin. A margin left to a separate letter that is not provided does not comply. Severity: high.

2.2 Debt service coverage. The agreement must include a debt service coverage ratio covenant of at least 1.25x. Severity: high.

3. Reporting and Legal Terms

3.1 Audited accounts. Audited annual financial statements must be delivered within 120 days of the financial year end. Severity: medium.

3.2 Events of default. The events of default must include payment default, cross-default and insolvency. Severity: high.

3.3 Governing law. The agreement must state a governing law and a forum for disputes. Severity: low.

3.4 Prepayment. Voluntary and mandatory prepayment terms must be specified. Severity: medium.

3.5 Key dates. The effective date, first repayment date and maturity date must be stated consistently wherever they appear. Severity: medium.

3.6 Use of proceeds. The agreement must state the purpose of the loan and restrict prohibited uses of the proceeds. Severity: low.